

Unit 3

Online Marketing for E-Commerce

E-Business and E-Commerce

DIPAK GAUTAM

Overview

This Chapter will cover:

- Digital Marketing Channels
- Search Engine Optimization (SEO)
- Pay-Per-Click (PPC) Advertising
- Social Media Marketing

Digital Marketing Channels

Digital marketing channels refer to the various online platforms or methods through which businesses can deliver promotional content, engage with customers, and drive traffic or conversions. These channels are essential in modern marketing strategies, enabling direct, targeted, and cost-effective communication with a wide audience.

Types Of Marketing Channels:

1. Email Marketing

Email marketing involves sending commercial messages, such as promotional offers, newsletters, or product updates, directly to a customer's email inbox. It is one of the most direct and cost-efficient digital marketing tools.

Example: An e-commerce website sends personalized emails to customers informing them about new arrivals or offering discount codes based on their previous purchases.

2. Social Media Marketing

Social media platforms such as Facebook, Instagram, Twitter, LinkedIn, and TikTok are used for brand promotion, customer interaction, and advertising. These platforms support both organic (unpaid) content sharing and paid advertising.

Example: A local restaurant posts food photos on Instagram and runs Facebook ads promoting a weekend discount to users in the nearby area.

Types Of Marketing Channels continued...

3. Search Engines (SEO & PPC)

This channel involves two major strategies:

- **Search Engine Optimization (SEO):** The process of improving website content and structure to increase its visibility in unpaid (organic) search engine results.
- **Pay-Per-Click (PPC):** A model where businesses pay for their ads to appear at the top of search results, and they are charged only when users click on the ad.

Example : A travel agency uses SEO to rank higher in Google for "best trekking routes in Nepal," while also running PPC ads for "Annapurna trekking package."

4. Affiliate Marketing

Affiliate marketing is a performance-based strategy where businesses partner with individuals or websites (affiliates) who promote their products in exchange for a commission on each sale generated through their referral.

Example: A blogger writes a review of a smartphone and includes an affiliate link to an online store. If readers click and purchase the product, the blogger earns a commission

Types Of Marketing Channels continued...

5. Content Marketing

Content marketing focuses on creating and sharing valuable, relevant, and consistent content to attract and retain a clearly defined audience. This content can take the form of blog articles, videos, infographics, podcasts, etc.

Example: A fitness brand maintains a blog with articles on workout tips and nutrition advice, helping build trust with potential customers while subtly promoting its products.

6. Mobile Marketing

Mobile marketing targets users through mobile devices such as smartphones and tablets. This can be done via SMS (text messages), push notifications, mobile apps, or mobile-optimized websites.

Example: A ride-hailing app sends real-time push notifications to users offering discounts during off-peak hours.

7. Display Advertising

Display advertising uses visual advertisements (such as banners, pop-ups, or video ads) displayed on websites, apps, or social media platforms. These ads are often used to increase brand awareness or retarget previous visitors.

Example: A user browses laptops on an e-commerce site and later sees banner ads for the same laptops while reading an online news article. This is known as retargeting.

Search Engine Optimization (SEO)

Search Engine Optimization (SEO) refers to a set of strategies and practices aimed at enhancing the visibility and ranking of a website in the **organic (non-paid)** results of Search Engine Results Pages (SERPs). Unlike paid advertisements (such as Google Ads), SEO focuses on optimizing a website's content, structure, and external presence to attract search engine traffic naturally

Importance of SEO in E-Commerce:

1. Driving Organic Traffic

SEO enables e-commerce websites to appear higher in Search Engine Results Pages (SERPs) when users search for relevant keywords. This increased visibility helps attract more organic (unpaid) traffic. Compared to paid advertising, organic traffic is cost-effective and sustainable in the long term.

Example: A user searching for "affordable running shoes" is more likely to click on one of the top organic results rather than paid advertisements.

Importance of SEO in E-Commerce Continued...

2. Enhancing Brand Awareness and Credibility

Websites that rank on the first page of search results are generally perceived as more credible and trustworthy. Frequent visibility in search results strengthens brand recognition, which is important in competitive markets.

3. Reducing Dependency on Paid Advertising

Although paid advertising provides immediate visibility, it requires continuous investment. SEO, on the other hand, offers a long-term marketing strategy. Once a website is properly optimized, it can maintain good rankings without recurring costs, making it especially valuable for small and medium-sized enterprises (SMEs) with limited marketing budgets.

4. Increasing Conversion Rates and Sales

SEO brings targeted visitors to a website -users who are already searching for specific products or services. When website content matches the user's search intent, it improves the likelihood of conversion (i.e., turning a visitor into a customer). Well-optimized websites also tend to load faster, perform better on mobile devices, and provide a better overall user experience, all of which contribute to increased sales.

Importance of SEO in E-Commerce Continued...

5. Improving User Experience (UX)

Modern SEO practices focus not only on search rankings but also on enhancing the overall user experience. Factors such as site speed, mobile responsiveness, clear navigation, and secure browsing (HTTPS) are part of technical SEO and directly contribute to customer satisfaction.

A positive user experience increases the likelihood that visitors will stay longer, explore more products, and complete purchases.

7. Gaining Competitive Advantage

In highly competitive e-commerce environments, SEO can provide a strategic advantage. A well-optimized site is more likely to appear ahead of competitors in search results, giving the business a greater share of traffic and potential sales. Many consumers do not go beyond the first page of search results. Ranking higher can significantly affect market reach.

8. Facilitating Long-Term Business Growth

SEO contributes to sustainable, long-term business development. While paid campaigns offer short-term traffic, SEO builds a strong foundation that continues to attract potential customers over time, creating brand loyalty and repeat sales.

Working of Search Engines

Search engines such as Google, Bing rely on a series of sophisticated, automated processes to locate, analyze, store, and rank web content. These processes are fundamental to the functioning of search engines and directly influence how websites appear on Search Engine Results Pages (SERPs).

The core operational stages include:

1. Crawling

Crawling is the initial phase of the search engine workflow. During this stage, automated software programs known as **web crawlers** or **spiders** systematically navigate the internet to discover new or recently updated content.

- These bots identify hyperlinks on known pages and follow them to uncover additional content.
- The data collected during crawling is prepared for further processing in the indexing phase.

Example: When a new blog post is published and linked on an existing web page, crawlers can locate and visit the new post during their next scan of the website.

Working of Search Engines continued...

2. Indexing

After crawling, the discovered web pages undergo indexing, where the content is analyzed and stored in the search engine's index database.

- Indexing involves scanning key elements such as **page content**, **keywords**, **meta tags**, **images**, and **overall structure**.
- Well-structured, content-rich pages are more likely to be indexed effectively.
- Pages with technical issues, like broken links or missing metadata, may be excluded or ranked lower.

3. Ranking

Once a page is indexed, search engines decide how high it should appear in the search results. Search engines use complex algorithms to evaluate each page based on many factors (over 200 in total) to show the most relevant and high-quality results.

Key factors include:

- **Backlinks** from other trusted websites.
- **Keyword relevance** to the search query.
- **Mobile-friendliness** and **page speed**.
- **User behavior, such as** : Click-through rate and Bounce rate

Types Of SEO

1. On-Page SEO

This involves optimizing the content and HTML source code of individual web pages to make them more accessible and relevant to both users and search engines.

Core elements:

- **Keyword Optimization:** Use of target keywords in page titles, headings (H1, H2), meta descriptions, and throughout the content.
- **Content Quality:** Creating original, relevant, and valuable content that satisfies user intent and search queries.
- **Image Optimization:** Using descriptive alt tags for images to improve accessibility and help search engines understand image content.
- **Internal Linking:** Linking to other pages within the site to improve navigation and assist search engine crawlers.
- **Mobile-Friendliness & Responsive Design:** Ensuring the website adjusts to different screen sizes and devices.
- **URL Structure:** Clean, readable URLs that include keywords (e.g. "/best-running-shoes" instead of "/product?id=123").

Types of SEO Continued...

2. Off-Page SEO

Off-Page SEO refers to activities conducted *outside* of the website to improve its authority and reputation. The main goal is to increase the website's trustworthiness in the eyes of search engines.

Key Strategies:

- **Backlink Building:** Earning links from reputable and relevant websites is a strong signal of trust and authority. Not all backlinks are equal, links from authoritative sources carry more weight.
- **Social Sharing and Signals:** While not direct ranking factors, social shares (likes, reposts, tweets) can amplify content reach and generate backlinks and traffic.
- **Influencer Outreach:** Collaborating with influencers or bloggers to promote content or products can result in valuable backlinks and increased brand awareness.
- **Guest Blogging:** Writing informative articles for other reputable websites with links back to your site can drive referral traffic and improve SEO.

Types of SEO Continued...

3. Technical SEO

Technical SEO focuses on the backend structure and configuration of a website. Its main purpose is to ensure that the website is accessible, crawlable, and indexable by search engines.

Core Components:

- **Site Speed Optimization:** Fast-loading pages improve user experience and are favored by search engines. Tools like Google Page Speed Insights can help diagnose issues.
- **Mobile Usability:** Pages must be mobile-friendly. This includes responsive design, touch-friendly navigation, and proper viewport configuration.
- **Robots.txt and XML Sitemaps:**
 - robots.txt guides search engine bots on which parts of the site to crawl or avoid.
 - XML sitemaps help search engines discover and understand the site's structure.
- **Fixing Crawl Errors:** Identify and resolve issues like 404 errors, redirect loops, or inaccessible pages using tools like Google Search Console.
- **Canonical Tags:** Used to avoid duplicate content issues by indicating the preferred version of a page.
- **Structured Data (Schema Markup):** Helps search engines understand the content type (e.g., product, review, recipe) and can lead to enhanced search listings, such as rich snippets.

Keyword Research

Keyword research is a foundational SEO practice that involves identifying the words and phrases users enter into search engines. The goal is to align website content with user queries to improve visibility and relevance in search results.

Key concepts include:

1. **Search Intent:** Understanding the purpose behind a search:
 1. **Navigational** – Seeking a specific website or brand (e.g., "Amazon").
 2. **Informational** – Looking for knowledge or answers (e.g., "how to return a product").
 3. **Transactional** – Ready to take action, such as making a purchase (e.g., "buy wireless headphones").
2. **Keyword Types:**
 1. **Short-tail keywords** – Broad and generic (e.g., "shoes"); high search volume but competitive.
 2. **Long-tail keywords** – More specific phrases (e.g., "affordable running shoes for women"); lower volume but higher conversion potential.
3. **Tools for Research:**
 1. **Google Keyword Planner** – For search volume and keyword suggestions.
 2. **Ubersuggest** – For discovering keyword ideas and competition analysis.

Pay-Per-Click (PPC) Advertising

Pay-Per-Click (PPC) is a digital advertising model wherein advertisers pay a predetermined fee each time a user clicks on their advertisement. This method contrasts with organic search traffic, where visibility is earned through content and search engine optimization (SEO) techniques.

PPC is commonly used as a traffic acquisition tool, allowing businesses to “buy visits” to their website. It forms a critical component of search engine marketing (SEM) and plays a major role in performance-based marketing strategies.

Common Platforms:

- **Google Ads:** The most widely used PPC platform, integrated with Google Search, Display Network, and YouTube.
- **Bing Ads:** Microsoft’s alternative to Google Ads, covering search traffic on Bing, Yahoo, and AOL.
- **Facebook Ads:** Uses a cost-per-click (CPC) model similar to PPC, allowing advertisers to target audiences based on demographics and interests.
- **YouTube Ads:** Part of Google Ads, allowing video-based PPC advertising before or during videos.

Key Components of a PPC Campaign

- **Keywords:** Keywords are the foundation of any PPC campaign. They are specific words or phrases that users enter into search engines. Advertisers must conduct thorough keyword research to identify terms that accurately reflect user intent and are relevant to their products or services. Selecting appropriate keywords ensures the ad is shown to the right audience, increasing the likelihood of clicks and conversions.
- **Ad Content:** Ad content includes both ad copy (text) and ad creatives (visuals like images, graphics, or videos). The ad copy should be clear, short, and match the keywords to attract clicks. It usually has a strong headline, main benefits, and a call-to-action (CTA). Visuals help grab attention and support the message, especially in display or social media ads. Together, good text and visuals improve ad performance by engaging users and encouraging action.
- **Landing Page:** This is the web page where users are directed after clicking on the ad. It should be highly relevant to the ad content, provide a seamless user experience, and encourage the desired action (e.g., purchase, sign-up). A well-optimized landing page improves the conversion rate and contributes positively to the Quality Score.
- **Bid Amount:** The bid amount is the maximum cost-per-click (CPC) an advertiser is willing to pay for a keyword. While higher bids can increase the chances of ad visibility, the actual CPC(cost per click) may be lower, depending on competition and Quality Score. Advertisers must balance competitive bidding with budget efficiency.
- **Quality Score:** Quality Score is a metric used by platforms like Google Ads to evaluate the relevance and quality of keywords, ad text, and landing pages. A high-quality Score can lead to lower CPCs and better ad placements, even with a lower bid. It reflects how useful the ad experience is to the user.

How Pay-Per-Click (PPC) Advertising Works

1. Keyword Selection and Bidding

Advertisers begin by selecting keywords (terms users might search for when looking for related products or services). They then set a bid amount, which is the maximum they are willing to pay for each click. Effective keyword selection depends on relevance, search volume, and intent.

Example: An online retailer might bid on terms like “buy running shoes online.”

2. Ad Auction

Each time a user performs a search, a real-time ad auction is triggered. Search engines like Google determine:

- Which ads to show
- The order in which they appear
- Whether they appear at all

This is based on two main factors:

- Bid amount
- Ad Quality, primarily measured through Quality Score

How PPC Advertising Works continued...

3. Quality Score

Google assigns a Quality Score to each ad based on:

- Relevance of the ad to the keyword
- Quality and relevance of the landing page
- Historical Click-Through Rate (CTR)

Higher Quality Scores lead to better ad placement and lower costs per click, even with a lower bid.

4. Ad Placement (Ad Rank)

Ads are ranked using the formula:

$$\text{Ad Rank} = \text{Bid} \times \text{Quality Score}$$

Higher Ad Rank increases the chance of the ad appearing above organic search results or in prominent positions.

5. Ad Click and Payment

If a user clicks on the ad, the advertiser is charged an amount typically based on the auction results. The user is directed to a landing page, which should be optimized to encourage conversions (e.g., purchases or sign-ups).

Advantages of PPC Advertising

1. Immediate Visibility and Traffic

PPC advertising enables businesses to gain instant visibility on search engines or other platforms. Unlike Search Engine Optimization (SEO), which requires time to improve organic rankings, PPC ads are displayed as soon as the campaign is activated. This is especially useful for new businesses or time-sensitive promotions.

2. Highly Targeted Advertising

PPC platforms allow for precise targeting of specific user segments. Advertisers can tailor their campaigns based on:

- **Keywords:** Targeting users based on search intent
- **Geography:** Showing ads in specific locations or regions
- **Device Type:** Delivering different messages to mobile or desktop users
- **Time and Day:** Scheduling ads during peak engagement periods
- **Demographics:** Filtering by age, gender, interests (especially on social platforms like Facebook)

Advantages of PPC Advertising

3. Budget Control and Measurable ROI

PPC provides flexible budget management, allowing advertisers to set daily or campaign-level limits. Furthermore, PPC platforms offer detailed analytics dashboards to track:

- **Click-through rates (CTR)**
- **Cost-per-click (CPC)**
- **Conversion rate**
- **Return on Investment (ROI)**

4. Complements SEO Strategy

While SEO focuses on long-term organic visibility, PPC helps fill in visibility gaps, especially when a website is new or has limited organic presence. Used together, they form a holistic digital marketing strategy, covering both immediate conversions and long-term traffic growth.

5. Brand Exposure and Retargeting Opportunities

Even if users do not click the ad, PPC contributes to brand awareness through repeated exposure. Additionally, with retargeting, advertisers can show ads to users who have previously visited their site, encouraging them to return and convert.

Limitations of PPC Advertising

1. Cost Intensity

PPC campaigns can be financially demanding, particularly in competitive sectors like law, insurance, and e-commerce. High-value keywords can have elevated Cost-Per-Click (CPC) rates, requiring advertisers to allocate significant budgets to remain competitive.

2. Ongoing Management and Optimization

Unlike SEO, which benefits from long-term organic growth, PPC requires constant supervision and manual optimization. Effective campaign management involves:

- Regular keyword performance analysis
- Bid adjustments based on competition and ROI
- A/B testing ad creatives and landing pages
- Monitoring Quality Score to reduce CPC

Limitations of PPC Advertising

3. Risk of Budget Waste

Poor campaign structure can result in significant budget loss without yielding conversions. Common causes include:

- Broad or irrelevant keyword targeting
- Misleading or non-compelling ad copy
- Weak or non-optimized landing pages
- Low Quality Scores, increasing CPC unnecessarily

4. Click Fraud

Click fraud involves fraudulent or malicious clicks on ads, often initiated by competitors, bots, or paid click farms. The objective is to exhaust the advertiser's budget without delivering real user engagement.

- May lead to inflated metrics and false data
- Reduces the effectiveness of ad spend

Limitations of PPC Advertising

5. Ad Fatigue and Banner Blindness

Over time, users may become desensitized to PPC ads, especially if they see the same creative repeatedly. This leads to lower engagement rates and declining Click-Through Rates (CTR).

- Known as ad fatigue in display and social campaigns
- Users may subconsciously ignore ads, a behavior known as banner blindness

6. Limited Long-Term Value

While PPC provides immediate results, it does not build long-term digital equity. Once the ad spend stops, traffic typically drops immediately unlike SEO, where content and backlinks continue to drive organic traffic.

Social Media Marketing

Social Media Marketing (SMM) refers to the use of social media platform(such as Facebook, Instagram, Twitter/X, LinkedIn, and TikTok)as tools to promote brands, products, and services. In the context of e-commerce, SMM is a strategic method to engage customers, enhance brand presence, and drive traffic to online businesses. It combines content creation, data analytics, and interaction with users to achieve marketing goals.

Importance of Social Media Marketing in E-Commerce:

- **Massive User Base:**
Social media platforms host billions of active users worldwide. This large and diverse user base provides e-commerce businesses with access to a wide pool of potential customers. The ability to reach global audiences makes social media an essential marketing tool.
- **Brand Visibility:**
Through regular posts, shares, and interactions, companies can significantly increase their visibility. Consistent social media presence helps in building brand recognition and fostering customer loyalty.
- **Cost-Effective Marketing:**
Compared to traditional advertising, social media offers more affordable options. Businesses can use organic (unpaid) content or invest in targeted advertisements that reach specific user segments based on demographics, interests, and behavior, resulting in higher efficiency and return on investment (ROI).

Importance of Social Media Marketing in E-Commerce: continued...

- **Data-Driven Insights:**
Social media platforms provide detailed analytics and user behavior data. Marketers can track engagement, conversion rates, and customer preferences to improve campaign effectiveness and make informed decisions.
- **Influencer and Community Marketing:**
Collaborating with social media influencers or engaging in niche communities helps businesses reach highly targeted audiences. This builds trust and increases the likelihood of customer acquisition through peer recommendations.
- **Two-Way Communication:**
Unlike traditional media, which only allows businesses to send messages to customers (one-way), social media enables two-way interaction. Customers can comment, ask questions, or share opinions, and businesses can respond immediately. This real-time communication helps build stronger customer relationships, increases trust, and allows companies to quickly resolve problems or answer inquiries.

Key Social Media Platforms for Marketing

- **Facebook:** Offers extensive reach and advanced audience targeting through paid advertising. Suitable for general brand awareness, customer engagement, and community building.
- **Instagram:** A visually driven platform ideal for promoting aesthetically appealing products and leveraging influencer partnerships. Commonly used in fashion, lifestyle, and retail sectors.
- **Twitter/X:** Supports real-time communication and trend engagement. Effective for timely updates, brand announcements, and customer service interactions.
- **LinkedIn:** A professional networking platform best suited for B2B marketing, corporate branding, and recruiting. Used to connect with professionals and share industry-relevant content.
- **TikTok:** Specializes in short-form, creative video content. Ideal for viral marketing campaigns and reaching younger, mobile-first audiences.
- **YouTube:** A comprehensive video-sharing platform used for long-form content. Effective for product demonstrations, tutorials, customer testimonials, and educational marketing.

Social Media Marketing Strategies

- **Content Strategy:**

This involves creating and disseminating valuable and engaging content, such as images, videos, blogs, and infographics, aimed at educating, entertaining, and promoting products. For example, a fashion e-commerce business may utilize Instagram to post high-quality visuals and videos of its latest collections, thereby enabling customers to better visualize products and maintain interest.

- **Paid Advertising:**

Paid advertising refers to the use of sponsored posts and targeted advertisements to increase the visibility of products among specific demographic segments. An e-commerce fashion retailer, for instance, might deploy Facebook ads targeting young adults with interests in fashion trends, efficiently directing potential customers to relevant product pages and increasing conversion rates.

- **Influencer Marketing:**

This strategy leverages partnerships with social media influencers who possess established followings and credibility. Through authentic endorsements, influencers can effectively introduce products to niche or broad audiences. A fashion brand may collaborate with prominent Instagram influencers to showcase and review its products, thereby enhancing trust and stimulating sales.

Social Media Marketing Strategies continued...

- **Contests and Giveaways:**

Organizing contests and giveaways encourages customer participation, fosters engagement, and expands the brand's follower base. For example, a retailer might run Instagram giveaways that require followers to share posts or tag friends, thereby increasing brand exposure and attracting potential buyers.

- **Hashtag Campaigns:**

The strategic use of branded and trending hashtags enhances product discoverability and aligns the brand with larger social conversations. For example: Nike's **#JustDoIt** campaign encourages customers to share their stories, increasing organic reach.

Challenges in Social Media Marketing

- **Content Saturation:**
The vast volume of content posted daily on social media platforms makes it difficult for brands to stand out and capture user attention. E-commerce businesses must therefore develop highly creative and targeted content strategies to differentiate themselves from competitors.
- **Negative Feedback:**
Public comments, reviews, or complaints on social media can impact a brand's reputation if not managed appropriately. Timely and professional responses are essential to mitigate potential damage and maintain customer trust.
- **Constant Algorithm Changes:**
Social media platforms frequently update their algorithms, altering how content is prioritized and displayed in users' feeds. These changes can affect organic reach and require marketers to continuously adapt their strategies to maintain visibility.
- **Time Intensive:**
Effective social media marketing demands consistent content creation, monitoring, and engagement with the audience. This process is resource-intensive and may require dedicated teams or tools to manage efficiently.

Challenges in Social Media Marketing continued...

- **Measuring ROI:**
It can be challenging to accurately measure the return on investment (ROI) of social media campaigns, especially for activities like brand awareness and engagement that do not directly translate into immediate sales.
- **Privacy and Ethical Concerns:**
With increasing awareness about data privacy, marketers must comply with regulations such as GDPR(General Data Protection Regulation). Ethical considerations around data usage and transparency are critical to maintain consumer trust.
- **Platform Dependency:**
Over-reliance on specific social media platforms can pose risks if those platforms change policies, decline in popularity, or experience outages, potentially disrupting marketing efforts.

Thank You!